4. The contract interest rate will be higher than the rate negotiated verbally (only the written contract counts).

Jessica was able to make the payments without difficulty for the first year, and then her monthly payment increased substantially. She thought it was a mistake and called her lender. Unfortunately, it wasn't a mistake. If Jessica had read her loan paperwork before signing it, she would have realized that she was borrowing money with a loan that had an adjustable interest rate. After the first year, the interest rate increased dramatically. Now her monthly payments were more than she could afford. She never compared auto loan terms to see which loan would be the best one for her; she just signed the paperwork that the salesman suggested.

Take a look at the differences between a loan with a thirty-six-month term and one with a sixty-month term. Also, see how the different interest rates affect the total to be repaid. As a general rule:

- The shorter the loan term, the lower the total to be repaid vs. the longer the loan term, the higher the total to be repaid
- The lower the interest rate, the lower the total to be repaid vs. the higher the interest rate, the higher the total to be repaid.

Combining a low interest rate with a short loan term is the best scenario. Unfortunately, the lure of a low monthly payment causes many people to choose the worst-case scenario, which is to stretch out the loan as long as possible. Take a look at the below example for an initial loan amount of $5,850.